United States Senate Committee on the Judiciary

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We the People? Corporate Spending in America after Citizens United

Written Testimony of Jeffrey D. Clements
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Chairman Leahy and Members of the Senate Judiciary Committee:

I appreciate the opportunity to submit this written testimony on my behalf and on behalf of Free Speech for People (www.freespeechforpeople.org). You are to be commended for holding this hearing on one of the most important subjects now facing the American Republic: "*We the People? Corporate Spending After Citizens United.*"

As an attorney I have handled public interest and private litigation matters on behalf of global corporations, small businesses, and people for more than two decades. Before opening Clements Law Office, LLC in 2009, I served as Assistant Attorney General and Chief of the Public Protection & Advocacy Bureau in Massachusetts, as a partner in the law firms of Mintz Levin and Clements & Clements, LLP in Boston, and as a litigation attorney in Portland, Maine.

Following the Supreme Court's announcement in June 2009 that the Court would hear re-argument on the question of overruling *McConnell v. Federal Election Commission* and *Austin v. Michigan Chamber of Commerce*, I filed an amicus brief in *Citizens United v. Federal Election Commission* on behalf of several citizen groups. When the Court announced its 5-4 decision in *Citizens United*, I worked with others in launching Free Speech for People, and now serve as its general counsel.

Free Speech for People is a campaign sponsored by Voter Action (voteraction.org), Public Citizen (citizen.org), the Center for Corporate Policy (corporatepolicy.org) and the American Independent Business Alliance (amiba.net) to restore the First Amendment's free speech guarantees for the people, and to preserve and promote democracy and self-government in the United States. In a little more than a month since the *Citizens United* decision, nearly fifty thousand Americans from across the country have signed the Free Speech for People petition at www.freespeechforpeople.org and at the Public Citizen website calling on Congress to pass and send to the States a Constitutional amendment to restore free speech rights to people, not corporations.

Congresswoman Donna Edwards of Maryland and Congressman John Conyers, Jr. of Michigan (Chair of the House Judiciary Committee) have introduced a Constitutional amendment resolution in the U.S. House of Representatives, and it now has more than a dozen co-sponsors. In the Senate, Senators John Kerry, Christopher Dodd, Arlen Specter, and Tom Udall have led the call for a Constitutional amendment to restore the fundamental premise that in a self-governing democracy, it is people, not corporations, who debate, vote, serve, and, if necessary, die for our nation and the rights that protect our freedom.

The extraordinary response to the *Citizens United* decision reflects widespread understanding that the Supreme Court majority's radical interpretation of the First Amendment to hold that the American people and our elected representatives are

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powerless to regulate corporate political expenditures is fundamentally wrong as a matter of constitutional law, history, and our republican principles of self-government. The revulsion against the majority's action in *Citizens United* cuts across all partisan lines: 81% of Independents, 76% of Republicans, and 85% of Democrats oppose the decision, and 72% of the people support reinstating the very limits that the Court struck down. (February 2010 Washington Post-ABC News poll).

In this testimony, I will address the consequences of the pernicious "corporate speech" theory that resulted in the *Citizens United* holding, and the far worse consequences to come. I also hope to show why these consequences are not the result of the limitations or implications of our First Amendment and Bill of Rights, but arise from a new and deeply flawed activism on the bench that the American people and Congress should move promptly to correct.

Consequences of the Corporate Speech Theory

Citizens United involved a corporate challenge to the most recent effort to control the corrupting and unfair influence of corporate money in politics: the Bipartisan Campaign Reform Act passed in 2002, frequently called the McCain-Feingold law after its Republican and Democratic Senate sponsors. This law extended pre-existing statutes prohibiting corporations from using corporate funds to advocate voting for or against a candidate for federal office.

Sweeping aside *McConnell v. FEC*, decided only six years ago, and overruling *Austin v. Michigan Chamber of Commerce*, a 1990 case upholding state law restrictions on corporate political expenditures, the Court held that the restrictions on corporate expenditures violated First Amendment protections of free speech. In effect, the majority decision (Justice Anthony Kennedy, joined by Chief Justice John Roberts and Justices Antonin Scalia, Clarence Thomas and Samuel Alito) equates corporations with people for purposes of free speech and campaign expenditures.

The extraordinary ruling in *Citizens United* is unhinged from traditional American understandings of both the First Amendment and corporations. As Justice Stevens' dissent in *Citizens United* makes clear, *Austin*, *McConnell* and a substantial line of Supreme Court and lower court cases, backed by two centuries of Constitutional jurisprudence, correctly ruled that Congress and the States may regulate corporate political expenditures not because of the type of speech or political goals sought by corporations but because of the very nature of the corporate entity itself. In other words, cases challenging corporate political expenditure regulations are not really about the speech rights of the American people; they are about the power of the American people to regulate corporations and the rules that govern such entities. Justice John Paul Stevens' dissent rightly calls the majority opinion a "radical departure from what has been settled First Amendment law."

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